

stock splits.” Unlike in Graham’s day, these stock dividends may now trigger the NYSE’s accounting requirement that the amount of the dividend be capitalized from retained earnings.

* This policy, already unusual in Graham’s day, is extremely rare today. In 1936 and again in 1950, roughly half of all stocks on the NYSE paid a so-called special dividend. By 1970, however, that percentage had declined to less than 10% and, by the 1990s, was well under 5%. See Harry DeAngelo, Linda DeAngelo, and Douglas J. Skinner, “Special Dividends and the Evolution of Dividend Signaling,” *Journal of Financial Economics*, vol. 57, no. 3, September, 2000, pp. 309–354. The most plausible explanation for this decline is that corporate managers became uncomfortable with the idea that shareholders might interpret special dividends as a signal that future profits might be low.

† The academic criticism of dividends was led by Merton Miller and Franco Modigliani, whose influential article “Dividend Policy, Growth, and the Valuation of Shares” (1961) helped win them Nobel Prizes in Economics. Miller and Modigliani argued, in essence, that dividends were irrelevant, since an investor should not care whether his return comes through dividends and a rising stock price, or through a rising stock price alone, so long as the total return is the same in either case.

* Graham’s argument is no longer valid, and today’s investors can safely skip over this passage. Shareholders no longer need to worry about “having to break up” a stock certificate, since virtually all shares now exist in electronic rather than paper form. And when Graham says that a 5% increase in a cash dividend on 100 shares is less “probable” than a constant dividend on 105 shares, it’s unclear how he could even calculate that probability.

† Subscription rights, often simply known as “rights,” are used less frequently than in Graham’s day. They confer upon an existing shareholder the right to buy new shares, sometimes at a discount to market price. A shareholder who does not participate will end up owning proportionately less of the company. Thus, as is the case with so many other things that go by the name of “rights,” some coercion is often involved. Rights are most common today among closed-end funds and insurance or other holding companies.

* The administration of President George W. Bush made progress in early 2003 toward reducing the problem of double-taxation of corporate dividends, although it is too soon to know how helpful any final laws in this area will turn out to be. A cleaner approach would be to make dividend payments tax-deductible to the corporation, but that is not part of the proposed legislation.

1 Benjamin Graham, *The Intelligent Investor* (Harper & Row, New York, 1949), pp. 217, 219, 240. Graham explains his reference to Jesus this way: “In at least four parables in the Gospels